

takeover activity. On an emotional level, the theory appears to embrace basic American values such as patience, perseverance, and faith in future rewards.

In reality, the short-term theory is pure hokum. Any observer who believes in even a modicum of market efficiency should be able to see through the smoke.

There is a virtual vacuum of empirical evidence to indicate that sound planning for tomorrow depresses today's stock prices and increases vulnerability to takeovers. In fact, recent research indicates that the opposite relationship may exist.

In a 1985 study Gregg Jarrell and Kenneth Lehn of the Securities and Exchange Commission compared the relative levels of research and development expenditures among 324 companies representing a cross-section of 19 research-intensive industries. The SEC economists found no evidence that increasing stock ownership of performance-oriented institutional investors has coerced managements to forgo long-term expenditures such as those for R&D. As average institutional ownership of the 324 companies grew from 1980 to 1983, average ratios of R&D expenditures to corporate revenues also rose.

In 217 companies that had been targets of takeover attempts, average R&D expenditures were measurably lower than for other rivals in their industries. It's interesting that institutional investors owned an average of only 19% of the takeover targets but an average of nearly 34% of the non-target businesses.

"The evidence strongly refutes the proposition that the stock market values only short-term earnings, and not expected future earnings," the SEC economists concluded. "A logical inference to be drawn from this evidence is that it is futile for corporate managers to try to forestall a hostile takeover by pumping up short-term earnings at the expense of investing in long-term projects with positive net present values."

Preliminary findings from another 1985 study, undertaken on behalf of the Investor Responsibility Research Cen-